Choudhury, "does not possess the internal revenue capacity to meet these promises independently. Delivering them will require significant central support, as well as a pruning of non-productive expenditure."

FROM AGRICULTURE TO INDUSTRY

However, while creating opportunities outside agriculture may be a priority, the sector remains the backbone of Bihar's economy, with 54.2 per cent of its workforce engaged in the activity (compared with 46.1 per cent for India), and contributing over 23 per cent of gross state value added. Yet it is a sector defined by smallness: 97 per cent of holdings are tiny or marginal. As N.K. Singh, former chairman of the 15th finance commission, pointed out in a recent article, Bihar's Fourth Agriculture Roadmap already charts an overdue shift from subsistence to diversification: increased irrigation, sustained attention to soil health and a push into pulses, millets and oilseeds. The NDA government must now operationalise the roadmap with precision. This means it must guarantee procurement for alternative crops, facilitate the expansion of dairy, poultry and fisheries—which already constitute roughly a third of agricultural output—and create agro-processing ecosystems for maize, makhana and litchi. It should also build cold-chain and logistics systems that turn agriculture into a profitable enterprise rather than a fallback occupation. Ashok Gulati, distinguished professor at ICRIER, also believes that Bihar must move away from doles and subsidies and instead invest in rural electrification, solarisation and feeder separation.

Nitish will have to aid diversification in agriculture with committed procurement for alternative crops, facilitate expansion of dairy, poultry and fisheries

Alongside, Nitish must also facilitate a shift toward manufacturing and services. Services already account for about 58 per cent of Bihar's GSDP and industry for roughly 21.5 per cent. The Bihar Industrial Investment Promotion Package 2025 and a single-window clearance system exist on paper as frameworks to accelerate investment; the practical challenge is delivering predictability. Land banking under the Bihar Industrial Area Development Authority needs not only acquisition but strict timelines and facilitation. Bihar could plausibly aim to raise the combined share of services and industry in GSDP by a quarter by 2030, with food processing, textiles, ethanol production, renewable energy clusters, IT-enabled services and tourism acting as engines.

Human capital is arguably the single most important lever. Bihar's literacy rate has climbed—to 74.3 per cent—yet learning outcomes remain weak. The Annual Status of Education Report 2024 found that just 39.4 per cent of Class III children can read at a Class II level, and only 19.5 per cent can perform simple division. These deficits compound across a lifetime. Nitish must therefore prioritise foundational learning, professionalise teacher training. Also, with roughly a million entrants entering the state's labour force each year, equipping even half of them annually with market-ready skills could convert a looming demographic burden into a demographic dividend. The government must aim for district-anchored Skill Development Missions aligned to local industry, apprenticeship pipelines linked to employers and measurable placement outcomes, not just certificates.

Urbanisation is the next big challenge. Only about 11 per cent of Bihar's population lives in towns, one of the lowest ratios in India. Urban growth has often been scattered and peri-urban. The remedy, as N.K. Singh sees it, requires statutory master plans for Patna, Muzaffarpur and Bhagalpur to manage orderly expansion, build infrastructure and rationalise land use. If a handful of municipalities became creditworthy enough to access market borrowings, they could become local models of sustainable urban finance and service delivery. Nitish must drive a structured urbanisation push, equipping municipalities with professional staff, mandating GIS-based planning and enabling urban local bodies to raise their own revenues responsibly.

Tourism and hospitality are often spoken of as soft options for quick employment growth, but Bihar's heritage must offer more than pride-invoking slogans. Nalanda, Bodh Gaya and a constellation of lesser-visited sites present a coherent brand that, if strategically cultivated, can generate hotels, guide services, food-and-transport microenterprises and artisan supply chains.

Backing these sectoral interventions will need a whole new institutional choreography—to shepherd big projects, ministerial groups to dismantle departmental silos, and senior officials answerable to explicit investment targets. Nitish must now enforce execution discipline—fix deadlines, digitise approvals, audit delays and make departments publicly accountable for investment outcomes. This calls for better public financial management. Several departments still surrender unspent funds each year, signalling weaknesses in planning, procurement and execution. Fiscal realism, says N.K. Singh, must guide the exercise: Bihar's own tax revenue is projected, in the 2025–26 budget estimates, at about 5.4 per cent of GSDP; if nominal GSDP grows rapidly, tax buoyancy must follow, or the state will remain dependent on central transfers.

Transforming Bihar is a formidable challenge, but Nitish and the NDA have been given an equally formidable mandate. They must now honour it by rescuing Bihar from its BIMARU state. ■